Mediterranean International Ports A.D.G.D Ltd

Financial Statements for FY - 2025-26

MEDITERRANEAN INTERNATIONAL PORTS A.D.G.D LTD.
2025 FINANCIAL REPORT

MEDITERRANEAN INTERNATIONAL PORTS A.D.G.D LTD.

2025 FINANCIAL REPORT

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Report of the Auditor to the Shareholders of Mediterranean International Ports A.D.G.D Ltd

We have audited the accompanying statements of financial position of Mediterranean international ports A.D.G.D Ltd (hereinafter "the Company"), as of December 31, 2025, and 2024 and the statements of profit or loss and other comprehensive income, changes in equity and cash flows for each of the two years in the period ended December 31, 2025. These financial statements are the responsibility of the Company's board of directors and management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with generally accepted auditing standards in Israel, including those prescribed by the Auditors' Regulations (Auditor's mode of performance), 1973. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by the Board of Directors and management, as well as evaluating the overall financial statements presentation. We believe that our audits provide a reasonable basis for our opinion.

A loan obtained from a related party was not initially recognized at fair value. Consequently, the interest expenses recorded for this period may not accurately reflect the market interest rate applicable to this loan.

In our opinion, expect for the above mentioned, the financial statements referred to above present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024 and their results of operation, changes in equity and their cash flows, for each of the two years in the period ended on December 31, 2025, in conformity with Accounting International Financial Reporting Standards (IFRS).

We draw attention to Note 1 regarding:

1. Significant upcoming interest payments that the Company is required to meet in the near future and the uncertainty as to whether expected dividends from the subsidiary will be sufficient. Failure to meet these obligations could trigger immediate loan repayment, for which the Company has no available resources. As disclosed, management expects a government-related agreement to be signed shortly, enabling substantial dividend distributions that would support the Company's continued operations.
2. Various legal proceedings, including class actions, involving the subsidiary. For certain cases, no provision was recorded, as legal advisors concluded that a reliable estimate of potential outcomes cannot yet be made.
3. The ongoing war in Israel, and its potential impact on Haifa Port Company LTD profitability and its ability to distribute dividends.

Tel Aviv, Israel, March 25, 2026

Ziv Haft

Certified Public Accountants (Isr.)

BDO Member Firm

MEDITERRANEAN INTERNATIONAL PORTS A.D.G.D LTD.

STATEMENTS OF FINANCIAL POSITION

	Note	December 31 2025	December 31 2024
		NIS in thousands	
Current assets:			
Cash and cash equivalents		10,369	7,993
Other receivables		832	28
Dividend receivable	1	-	55,000
Total current assets		**11,201**	**63,021**
Non- current assets:			
Investment in HPC	1	3,995,140	4,036,534
Total non- current assets		**3,995,140**	**4,036,534**
Total assets		**4,006,341**	**4,099,555**
Current liabilities:			
Tax payables		62,485	47,441
Accrued expenses		113	174
Related parties		40,256	1,256
Accrued interests	4	20,276	200,910
Current maturities of long-term loan Mizrahi	1, 4	12,105	1,099,872
Current maturities of long-term loan Adani	1, 4	28,245	1,668,823
Total current liabilities		**163,480**	**3,018,476**
Non- current liabilities:			
Long-term loans Mizrahi, net		808,708	-
Long-term loans AIPH, net	4	1,886,985	-
Total non- current liabilities		**2,695,693**	-
Equity			
Share capital		1,466,301	1,299,001
Loss		(319,133)	(217,922)
Total equity		**1,147,168**	**1,081,079**
Total liabilities and equity		**4,006,341**	**4,099,555**

Date of approval of the financial statements: March 26, 2026.

Krishna Menon	**Opher Linchevski**
Director	**Director**

The accompanying notes are an integral part of the financial statements.

MEDITERRANEAN INTERNATIONAL PORTS A.D.G.D LTD.

STATEMENTS OF INCOME, LOSS, AND COMPREHENSIVE INCOME

	Note	Year ended December 31 2025	Year ended December 31 2024
		NIS in thousands	
Equity profits		150,235	91,562
Operating expenses		(684)	(1,169)
Profit before financial expenses		**149,551**	**90,393**
Financial income		3,475	411
Financial expenses	4	(245,429)	(246,682)
Other costs		(4,180)	(1,811)
Financial expenses, net		**(246,134)**	**(248,082)**
Net loss		**(96,583)**	**(157,689)**
Items that will not be reclassified to the profit or loss:			
Share of investee's other comprehensive loss, net of taxes		(4,628)	(279)
Total items that will not be reclassified to the profit or loss		**(4,628)**	**(279)**
Total comprehensive loss		**(101,211)**	**(157,968)**

The accompanying notes are an integral part of the financial statements.

MEDITERRANEAN INTERNATIONAL PORTS A.D.G.D LTD.

STATEMENTS OF CHANGES IN EQUITY

	Attributable to the Company's shareholders		
	NIS in thousands		
	Share capital	**Retained earnings**	**Total**
Balance of January 1, 2024	**1,239,001**	**(59,954)**	**1,179,047**
Issue of shares	60,000	-	60,000
Loss	-	(157,689)	(157,689)
Share of investee's other comprehensive loss, net of taxes	-	(279)	(279)
Balance of December 31, 2024	**1,299,001**	**(217,922)**	**1,081,079**
Issue of shares	167,300	-	167,300
Loss	-	(96,583)	(96,583)
Share of investee's other comprehensive loss, net of taxes	-	(4,628)	(4,628)
Balance of December 31, 2025	**1,466,301**	**(319,133)**	**1,147,168**

The accompanying notes are an integral part of the financial statements.

MEDITERRANEAN INTERNATIONAL PORTS A.D.G.D LTD.

STATEMENTS OF CASH FLOWS

	Year ended December 31 2025	Year ended December 31 2024
	NIS in thousands	
Cash flows used in operating activities:		
Net cash used in operating activities (see Appendix A below)	57	(9,115)
Net cash used in operating activities	**57**	**(9,115)**
Cash flows for investing activities:		
Dividend received from HPC	242,000	152,000
Net cash used in investing activities	**242,000**	**152,000**
Cash flows for financial activities:		
Proceeds from issue of shares	-	60,000
Short term loan	206,300	-
Payment for loan transaction costs	(35,727)	-
Tax Payment	(16,314)	-
Repayment of interest	393,940))	(199,654)
Receipt of loan	268,400	-
Repayment of loan	(268,400)	-
Net cash provided from financing activities	**(239,681)**	**(139,654)**
Increase in cash and cash equivalents	2,376	3,231
Balance of cash and cash equivalents at the beginning of the period	7,993	4,762
Balance of cash and cash equivalents at the end of the period	**10,369**	**7,993**

The accompanying notes are an integral part of the financial statements.

MEDITERRANEAN INTERNATIONAL PORTS A.D.G.D LTD.

STATEMENTS OF CASH FLOWS

	Year ended December 31 2025	Year ended December 31 2024
	NIS in thousands	
(a) Net cash from operating activities:		
Loss	**(96,583)**	**(157,968)**
Adjustments in respect of income and expenses not involving cash flows:		
Financial expenses in respect of long-term loans and other liabilities - net	247,741	219,088
Equity profit from HPC	(150,235)	(91,284)
Increase (decrease) in tax payable and accruals:		
Tax payables	-	19,832
Other	(866)	(40)
Related parties	-	1,257
Net cash used in operating activities	**57**	**(9,115)**
(b) Supplementary information on investing and financing activities not involving cash flows:		
Conversion of debt to equity	167,300	-
Dividend receivable	-	55,000

The accompanying notes are an integral part of the financial statements.

NOTE 1 – GENERAL

Mediterranean International Ports A.D.G.D. Ltd. ('the Company') is a Special Purpose Company ("SPC") owned by India's Adani Ports and Special Economic Zone Limited ("APSEZ") and Israel's Gadot Chemical Terminals (1985) Ltd ("GADOT") in the ratio of 70% and 30%, respectively. The Company was formed with an intention to acquire equity shares of Haifa Port Company Ltd ("HPC") as per the Tender documents related to the Sale Process of Haifa Port Company (as described below).

On May 19, 2022, Gadot submitted, together with APSEZ an offer as part of a tender for the purchase of HPC's shares, which was conducted by virtue of the government decision (from January 2020). In January 2020 the government of Israel decided to privatize HPC and sell all the state's holdings in it 'as is' to a strategic buyer (or a group of buyers). On May 19, 2022, APSEZ and Gadot submitted an offer as part of a tender for the purchase of HPC's shares.

On July 14, 2022, the consortium comprising APSEZ and GADOT were announced as a winner of the tender, for a total consideration of NIS 3.9 billion as detailed as follows: (a) a total of NIS 1 billion will be invested in HPC for the purpose of developing infrastructure and port equipment and other uses to strengthen the financial strength of HPC (in exchange for the allocation of its shares); and (b) a total of NIS 2.9 billion will be paid to the State of Israel in exchange for the purchase of its entire holdings (100%) in HPC's shares.

As part of the bid compliances to acquire HPC's shares, APSEZ and GADOT has formed the Company to enter an investment and Share Purchase Agreement for HPC's shares with the State of Israel.

Gadot and APSEZ financed the amount for winning the tender (meaning NIS 3.974 billion) through the mix of debt and equity as under:

1. A capital infusion of NIS 1.239 billion by the shareholders in the ratio of their shareholding in the Company,
2. Loan of NIS 1.1 billion provided by a consortium of financiers led by Mizrahi Bank, Meitav Dash, the International Bank and Ayalon Insurance Company ("the Consortium"). The tenor of the loan is two years (Original tenor of One year with an option exercised by the Company for an extension of additional one year). At the time of sanction, the loan comprised of an interest rate of Bank of Israel interest rate plus spread of 4.25% (after one year the spread rises to 5%). As a security to this, the company has pledged 100% of its holdings in HPC. According to the loan terms, the company was required to obtain a rating for the loan from S&P Maalot (minimum credit rating of BBB-) or from Midroog (minimum credit rating of Baa3il) within 12 months after the first utilization.
3. The rest of the amount was financed through a mezzanine loan for a period of up to three years which was provided by wholly owned subsidiary of APSEZ- Adani International Ports Holdings Pte. Ltd., Singapore ("AIPH"). The loan bears interest according to the Bank of Israel interest rate plus spread of 2.15% (after one year the spread rises to 2.75%).

NOTE 1 – GENERAL (Cont.)

The conditions for completing the acquisition of HPC were fulfilled on January 10, 2023, and the purchase of HPC's shares was completed, and they were transferred to the ownership of the Company.

On November 29, 2023, the Company and the Consortium signed on the first Amendment to the facility agreement in which the Consortium agreed to extend the timeline to obtain credit rating until April 10, 2024, such that the exercise of the extension does not depend on obtaining the credit rating.

As of January 10, 2024, the Company paid to the Consortium interest amounting to NIS 96.6 million according to the facility agreement. At the same date, the company and the Consortium signed on the second Amendment to the facility agreement which include the following:

1. APSEZ will provide to Mizrahi Bank a guarantee, limited to the sum of NIS 1.3 billion, against principal, interest and all other fees, legal costs and expenses related to the Facility ("Adani Guarantee").
2. The rate of the interest on the loan is fixed rate of 8.65% per annum.
3. Till the Company obtains a desired rating for the facility, it will ensure that Adani Guarantee remains in effect, and APSEZ maintains a corporate credit rating of at least BBB minus from S&P Global Ratings, BBB minus from Fitch Ratings, or Baa3 from Moody's Investors Services.

Both APSEZ and Gadot provided guarantees to Mizrahi bank amounting to NIS 31.8 million and NIS 13.6 million, respectively (the difference between the dividend from HPC and the interest paid to the Consortium multiplied by 70% and 30%, respectively) ("investor Guarantee").

To serve the interest paid to AIPH and the Consortium, the Company raised equity capital from both Adani and Gadot (of NIS 42 million and NIS 18 million, respectively) by issuing its shares (total of 6,000,000,000 ordinary shares of the company, NIS 0.01 par value each) as of January 29, 2024. Moreover, the Company received dividends from HPC in total amounts of NIS 142 million and NIS 10 million on January 1, 2024 (which was declared and recognized in 2023) and on January 29, 2024, respectively.

As of April 9, 2024, the rating process was concluded, and the Company obtained the required credit rating of Baa3 (Midroog).

On January 12, 2025, the Company paid the Consortium interest amounting to NIS 96.6 million according to the facility agreement. To pay the interest on time, both Gadot and Adani injected into the Company amount of NIS 48.09 million and NIS 112.21 million, respectively. The interest to AIPH was paid in two installments of NIS 81.84 million and NIS 31.5 million, each (on January 21, 2025, and February 5, 2025, respectively). Due to the delay in the second payment and according to the agreement with AIPH, the Company paid an additional interest of NIS 0.2 million (interest of 10.25% as of the delayed amount).

NOTE 1 – GENERAL (Cont.)

On February 18, 2025, May 21, 2025, July 23, 2025, and November 5, 2025, HPC declared (and paid) for distribution of dividends amount to NIS 58 million, NIS 41 million, NIS 51.5 million and NIS 31.5 million, respectively.

Following the injection made by the shareholders in January 2025 (NIS 160.3 million), on June 30, 2025, the company issued 11,000,000,000 ordinary shares, NIS 0.01 par value to ADANI and Gadot (according to their holdings of 70% and 30%, respectively).
Following the injection made by the shareholders in November 2025 (NIS 7.0 million), on December 23, 2025, the company issued additional 5,730,000,000 ordinary shares, NIS 0.01 par value to ADANI and Gadot (according to their holdings of 70% and 30%, respectively).

On July 7, 2025, a new loan facility agreement was signed between the Company and the consortium (led by Mizrahi Bank).

On November 2, 2025, the Company received two permits that were a necessary condition for the commencement of the implementation of the financing agreement. Consequently, all parties agreed to designate November 20 as the date on which the financing agreement would take effect, following the transfer of the accrued interest to Mizrahi Bank and to AIPH (up to November 20, as stated).
To meet the Company's obligations towards, APSEZ and Gadot provided a loan in the amounts of NIS 27.3 million and NIS 11.7 million, respectively.
As part of the new loan agreement, AIPH injected (as a loan) NIS 268.4 million. The loan amount was provided against a reduction in the loan provided by Mizrahi Bank by the same amount. See also note 4.

<u>Haifa Port Company - significant information</u>

- <u>The Impact of Operation "Am K'lavi" (Nation as a Lion) on Haifa Port Company (hereafter: HPC)</u>

During June 2025, the State of Israel faced an ongoing round of fighting as part of Operation "Am K'lavi" which took place mainly against the background of a security threat with Iran and its proxies. During the duration of the operation, HPC experienced certain disruptions in its operations, including:

- Diversion of ships from reaching the port of Haifa, with an emphasis on container and vehicle ships
- Drafting employees for active reserve military service
- Logistical limitations.

Notwithstanding the aforesaid, no material damage was caused to HPC day-to-day operations, and it continued to provide its services fully even during the operation. Immediately after the end of the fighting, HPC operations returned to normal, including the return of all its customers to work as planned. During the operation, a missile fell near the port area, causing physical damage to a number of HPC assets. The value of the damages, according to HPC estimates, is approximately NIS 5

NOTE 1 – GENERAL (Cont.)

million, and an orderly application has been forwarded to the property tax offices, and HPC is in contact with the tax authorities in order to receive the aforementioned compensation and restore the situation to its previous state. The Company examined the possible effects on the value of its assets, cash flows, and as of the date of the signing the financial statements, no indications of material impairment or material deviation in forecasts were identified.

On February 28, Operation Lion Roar began with a combined attack by the State of Israel, together with the United States, against Iran. During the month of March, the war expanded to include additional countries, including countries in the Persian Gulf and Saudi Arabia.
At this stage, it is not possible to assess the full extent of the risks and potential consequences of the continuation of this war on Haifa Port Company Ltd.

- Contingent Liability

Various legal proceedings are pending against HPC for events that occurred during the normal course of business, including applications to certify claims as class actions. The Company's management, based on the opinion of its legal advisors, regularly reviews the prospects and risks inherent in these proceedings. As of the date of signing the reports, and although some of the proceedings are in preliminary stages, in the Company's management's assessment, adequate provisions for these exposures have been included in HPC's financial statements, to the extent required in accordance with generally accepted accounting principles.

- Best Judgment Assessment Report

On December 30, 2025, HPC received best judgment assessments issued by the Haifa Assessor for the tax years 2020-2022. As part of the assessments, the Tax Authority disputed HPC's reports on several key issues, including the classification of profits and withdrawals from designated employee benefit accounts, recognition of income for privatization grant eligibility, and calculation of capital gain from the sale of an activity.
As a result of the assessor's determinations, the total cumulative taxable income for the three years was set at approximately NIS 271.1 million. HPC, in consultation with its legal and tax advisors, disputes the assessor's determinations and intends to file an objection to the assessment within the deadlines set by law. In the opinion of HPC management, there are good defenses against the aforementioned determinations, and therefore the provisions in the financial statements are sufficient to cover the tax exposures arising from the aforementioned assessment.

Future Cash Flows

The Company is required to service interest payments of approximately NIS 100 million during 2026, of which roughly NIS 42 million are due already in March 2026. There is currently uncertainty as to whether the anticipated regular dividends from the subsidiary, HPC, will be sufficient to fund these payments. Failure to meet these payments may trigger immediate loan repayment, for which the Company has no available resources, absent a capital injection from the Company's shareholders.
As described in Note 6, the subsidiary is in advanced stages of obtaining the required approvals from the State and from related authorities, which are expected to enable an increased distribution of

NOTE 1 – GENERAL (Cont.)

dividends in the near term and in significant amounts. In management's assessment, such distributions would resolve the Company's liquidity constraints for the foreseeable future.
Since the relevant agreements are currently in their final drafting stages with legal counsel and, based on the Company's and its advisors' evaluation, are expected to be approved by the Israel Ports Company's and Haifa Port Company's boards with a high degree of certainty in the near term, the Company believes - after considering all relevant circumstances - that no reasonable doubt exists regarding its ability to continue as a going concern for the foreseeable future.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

a. Basis of presentation of the financial statements:

The financial statements of the Company were prepared in accordance with IFRS and interpretations to IFRS issued by the International Financial Reporting Interpretations Committee (IFRIC).

The preparation of financial statements in conformity with IFRS requires the Company's management to make certain significant accounting estimates. It is also required that the Company management exercise discretion in the process of applying the accounting policies of the Company. Note 3 discloses those areas in which the management is required to exercise a significant degree of discretion, or which are marked by a considerable degree of complexity, as well as those areas where assumptions and estimates affect the financial statements to a considerable extent. Actual results could differ significantly from those derived from the use of estimates and assumptions by the management.

b. Investment in a subsidiary:

Subsidiaries are entities that are controlled by the Company. Control exists when the Company has power over the investee, is exposed, or has rights, to variable returns

from its involvement with the investee, and has the ability to use its power to affect its returns.
The Company applies the exemption from consolidation of its subsidiary (HPC), as all of the conditions in paragraph 4(a) of IFRS 10 are met, since the Company informed all of its shareholders, and its shareholders do not object to, the Company not presenting consolidated financial statements, its debt and equity instruments are not traded in a public market, it did not file, nor is in the process of filing, its financial statements with a securities commission or other regulatory organization for the purpose of issuing any class of instruments in a public market, and its ultimate parent produces financial statements that are available for public use and comply with IFRSs, in which subsidiaries are consolidated in accordance with IFRS.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont.)

Instead, the financial statements of the Company's subsidiary (HPC) are included in the Company's financial statements based on the equity method according to IAS 28. Under the equity method, the investment in the subsidiary is recognized initially at cost and adjusted thereafter to recognize the Company's share (100%) of the profit or loss and other comprehensive income of the subsidiary.

The investment in the subsidiary is accounted for by using the equity method from the date on which the investee becomes a subsidiary. On acquisition of the investment in the subsidiary, any excess of the cost of the investment over the Company's share (100%) of the net fair value of the identifiable assets and liabilities of the subsidiary

is recognized as goodwill, which is included within the carrying amount of the investment.

c. **Foreign currency translation:**

1) Functional and presentation currency

Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which it operates (hereinafter - "the functional currency"). The financial statements are presented in NIS, which is the Company's functional and presentation currency.

2) Transactions and balances

Transactions in a currency other than the functional currency (hereinafter - foreign currency) are translated into the functional currency by using the exchange rates

prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at end-

period exchange rates of monetary assets and liabilities denominated in foreign currency are recognized in the income statement.

d. **Impairment of non-financial assets**

If there is objective evidence that the Company's investment in its subsidiary is impaired, the requirements of IAS 36 are applied to determine whether it is necessary

to recognize any impairment loss with respect to the Company's investment. When necessary, the entire carrying amount of the investment (including goodwill) is tested for impairment in accordance with IAS 36 as a single asset by comparing its recoverable amount (higher of value in use and fair value less costs of disposal) with its carrying amount. If the recoverable amount of the investment is lower than its carrying amount, impairment loss is recognized. Any impairment loss recognized is not allocated to any asset, including goodwill, that forms part of the carrying amount of the investment. Instead, the impairment loss is recognized for the investment as a whole. Any reversal of that impairment loss is recognized in accordance with IAS 36

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont.)

to the extent that the recoverable amount of the investment subsequently increases, but not higher than the carrying amount at which the investment would have been measured (according to the equity method) had the impairment loss was not recognized.

e. Financial assets:

1) Classification

The Company classifies its financial assets in the following measurement categories:

- Assets that are measured at fair value through profit or loss.
- Assets that are measured at amortized cost.

The classification depends on the Company's business model for managing the financial assets and the contractual terms of the cash flows.
Financial assets at amortized cost are financial assets held within the framework of a business model whose objective is to hold financial assets in order to collect contractual cash flows, and their contractual terms provide entitlement on defined dates to cash flows that are only principal and interest payments in respect of the principal amount that has not been repaid yet. These assets are classified as current assets, except for maturities in respect of a period longer than 12 months after the date of the financial position statement, which are classified as non-current assets. The financial assets at fair value through profit or loss are investments in debt instruments held for trading and derivative financial assets, and they are classified as current assets. Gains or losses due to the revaluation of these financial assets to fair value are added to the income statement.

2) Recognition and derecognition

Financial assets are recognized when the Company becomes a party to the contractual terms of the financial assets. Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or have been transferred, and the Company has transferred all or most of the risks and rewards in respect of ownership of these assets.

3) Measurement

At initial recognition, the Company measures financial assets at their fair values, and in the case of a financial asset not at fair value through profit or loss, plus transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets measured at fair value through profit or loss are recorded in the statement of income. Financial assets at fair value through profit or loss are measured in subsequent periods at fair value. Financial assets at

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont.)

amortized cost are measured in subsequent periods at amortized cost, based on the effective interest method.

4) Impairment

The Company examines on each date of the statement of financial position whether there has been a significant increase in the credit risk of the financial asset as of its initial recognition, on an individual basis or on a company basis. Therefore, the Company compares the risk of failure of the financial instrument at the time of reporting with the risk of failure of the financial instrument at the time of the initial recognition while considering all reasonable and substantiated information, including forward-looking information.

f. Financial liabilities

All financial liabilities are measured subsequently at amortized cost using the effective interest method. The effective interest method is a method of calculating the amortized cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the amortized cost of a financial liability.

Derecognition of financial liabilities:
The Company derecognizes financial liabilities when, and only when, the Company's obligations are discharged, cancelled, or have expired. The difference between the carrying amount of the financial liability derecognized and the consideration paid and payable is recognized in profit or loss.
The Company received a loan from AIPH (a related party) and decided not to measure it at fair value at initial recognition.

g. Cash and cash equivalents

Cash and cash equivalents include cash in hand, short-term deposits held at call with banks with original maturities of three months or less, which are not restricted in use, and other short-term highly liquid investments.

h. Share capital

Ordinary shares of the Company are classified as equity.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont.)

i. Current and deferred income tax

The tax expense for the period comprises current and deferred tax. Tax is recognized in the income statement, except to the extent that it relates to items recognized directly in other comprehensive income or in other equity accounts. In this case, the tax is also recognized in other comprehensive income or in equity, respectively.

The current income tax charge is calculated based on the tax laws enacted or substantively enacted at the date of the statements of financial position in the countries where the Company and/or its subsidiaries operate and generate taxable income. The Company's management periodically examines the tax aspects that apply to its taxable income for tax purposes in accordance with the relevant tax laws and records provisions accordingly.

Deferred income tax is fully recognized, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. However, the deferred income tax is not accounted for if it arises from the initial recognition of an asset or liability in a transaction other than a business combination that, at the time of the transaction, affects neither accounting nor taxable profit or loss. Deferred taxes are determined based on tax rates (and tax laws) that have been enacted or substantially enacted by the date of the statement of financial position and are expected to apply when the related deferred income tax assets are realized, or the deferred income tax liabilities are settled.

Deferred income tax assets are recognized only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilized.

Deferred income tax is not calculated on temporary differences arising on investments in subsidiaries, if the timing of reversal of the differences is controlled by the Company and it is expected that no such reversal will take place in the foreseeable future.

Deferred income tax assets and liabilities are offset only if:

- There is a legally enforceable right to offset current tax assets against current tax liabilities; and
- when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

j. Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) because of a past event, it is probable ("more likely than not") that an

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont.)

outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to a provision is presented in the statement of profit and loss. Contingent liabilities are not recognized but disclosed unless the probability of an outflow of resources is remote. Contingent assets are disclosed where inflow of economic benefits is probable.
If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

k. Interest income

For all financial assets measured either at amortized cost or at fair value through other comprehensive income, interest income is recorded using the effective interest rate (EIR). EIR is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the gross carrying amount of the financial asset or to the amortized cost of a financial liability. When calculating the effective interest rate, the Company estimates the expected cash flows by considering all the contractual terms of the financial instrument (for example, prepayment, extension, call and similar options) but does not consider the expected credit losses. Interest income is included in finance income in the statement of profit and loss using the effective interest method.

l. Disclosure regarding a new standard in the period before its implementation: International Financial Reporting Standard 18, Presentation and Disclosure in Financial Statements (hereinafter: "IFRS 18" or "the new standard")

IFRS 18 published in April 2024 aims to improve the comparability and transparency of reporting on the companies' performance. The new standard replaces International Accounting Standard 1, Presentation of Financial Statements and does not deal with recognition and measurement of items in the financial statements.
Below is an overview of the main changes that will apply to the financial statements with the implementation of the new standard, in relation to the presentation and disclosure instructions that apply today:

- The new standard will change the structure of the report on the profit or loss and will include three new defined categories: operation, investment and financing and will add two new interim summaries: operating profit and profit before financing and income taxes.
- The new standard includes guidelines for providing disclosure on management-defined performance measures (MPMs).
- The new standard provides guidelines regarding the grouping and splitting of the information in the financial statements in relation to the question of whether

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Cont.)

information should be included in the main reports or in explanations and disclosures regarding items defined as "other".

- The new standard includes amendments to other standards, including limited amendments to International Accounting Standard 7, Statement of Cash Flows.

IFRS 18 will be applied retroactively starting from the annual periods starting on or after January 1, 2027 while providing specific disclosure as determined within the

transition provisions of the new standard. Early application of IFRS 18 is possible while providing disclosure.

The company is examining the possible impact of IFRS 18 on the financial statements, but at this stage it is unable to estimate such an impact. The effect of the new standard, however it may be, will only affect matters of presentation and disclosure.

NOTE 3 - CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS

1) Uncertain tax positions

When assessing amounts of current and deferred taxes, the Company takes into consideration the effect of the uncertainty that its tax positions will be accepted and of the Company incurring any additional tax and interest expenses.

2) Assets impairment

Significant judgement is required to conduct an impairment test where there is indication of impairment of the investment measured according to the equity method.

3) Claims and legal proceedings

While estimating the results of claims and legal proceedings filed against the Company and its subsidiaries, the companies rely on the opinions of their legal counsel. These assessments are based on the best professional judgment of the legal counsel while considering the stage of the proceedings and the legal precedents in various matters. Since the results of the claims and proceedings will be determined in the courts, the results may differ from these estimates.

NOTE 4 - LOANS AND OTHER LIABILITIES

a. Composition:

	December 31 2025	December 31 2024
	NIS in thousands	
Short-term liabilities		
Interest accruals towards the Consortium (1,3)	6,083	92,811
Interest accruals towards related party (2,3)	14,193	108,099
Total short-term liabilities	**20,276**	**200,910**
Current maturities of long-term loan		
Loan from the Consortium (1,3)	12,105	1,099,872
Loan from related party (2,3)	28,245	1,668,823
Total Current maturities of long-term loan	**40,350**	**2,7698,695**
Long-term liabilities		
Loan from the Consortium, net (3)	808,708	-
Loan from related party, net (3)	1,886,985	-
Total long-term liabilities	**2,695,693**	-

(1) On January 4, 2023, the company availed loan facility from the Consortium amounting to NIS 1.1 billion. The facility carries Interest rate of Bank of Israel plus 4.25% spread. The Loan is secured by share pledge of Haifa Port Company. Total transaction costs accumulated amounted to NIS 7 million.
For more information, please refer to note 1.

(2) On January 5, 2023, the company has availed loan facility from Adani International Ports Holdings Pte. Ltd., Singapore ("AIPH") amounting to NIS 1.7 billion. The facility carries Interest rate of Bank of Israel plus 2.15% spread during the first two years of the tenor and after two years, the spread rises to 2.75%. The Loan is unsecured. The loan is repayable in single Installment on December 30, 2025. The interest shall be paid each year (from the date the loan was given).
Total transaction costs accumulated amounted to NIS 25 million.
For more information, please refer to note 1.

(3) On July 7, 2025, an Intercreditor Agreement (the "Agreement") was executed between Group 1 lenders and Group 2 lenders of the Company. The purpose of the Agreement is to establish a coordinated framework between the lender groups with respect to priorities, rights, payment limitations, and enforcement procedures in relation to the loans provided to the Company, given that both groups hold parallel security interests over the same underlying assets.

NOTE 4 - LOANS AND OTHER LIABILITIES (cont.)

- Group 1 – Mizrahi-Tefahot Bank loans in an aggregate amount of approximately NIS 832 million (hereinafter: "Group 1").
- Group 2 – ADANI International Ports Holdings and additional lenders, comprising both affiliated lenders and unaffiliated lenders, with total debt of approximately NIS 1,940 billion (hereinafter: "Group 2").
- The costs for providing the various loans amounted to NIS 35.7 million, which were deducted from the loan principal on the day the various loan amounts were provided.

Both Groups hold Pari Passu security interests over the shares of the Company's subsidiary, HPC, as well as over additional Company assets.

Financing Structure and Interest Mechanism

Under the Facility Agreement, the Company received three term loans: Facility A, Facility B, and Facility C, in a total amount of NIS 2,772 billion, all drawn on the Closing Date to refinance fully the Company's prior credit facilities. Individual facility commitments are as follows:

- Facility A – NIS 990 million
- Facility B – NIS 990 million
- Facility C – NIS 792 million

All loans accrue variable interest at a margin of 2.95% per annum above the applicable base rate and will be repay until March 31, 2023.

- Facility A: Base Rate is the Bond Rate, calculated by the Agent based on the yield of CPI-linked Israeli government. The loan principal will begin to repay the installments starting March 2029.
- Facilities B and C: Base Rate is the Bank of Israel Interest Rate. If the Base Rate is negative, it is deemed to be zero.
  Facility B will begin to repay the installments starting from March 2029.
- Facility C will begin to repay the installments starting from March 2026. Facility C does not have a fixed repayment. Instead, its principal is repaid primarily through mandatory prepayments triggered by HPC distributions, as follows: A portion of each HPC distribution, called the applicable estate distribution amount, is mandatorily applied to the early repayment of the loan in full.
  Interest periods are semi-annual on March 30 and September 30, except for Facility C, for which the interest depends on the profits derived from the revaluation of real estate in the subsidiary. If there are no such profits, interest is accrued to the next period.

NOTE 4 - LOANS AND OTHER LIABILITIES (cont.)

Special Interest and Indexation Features

- Facility A – CPI Linkage
  All principal and interest payments are fully linked to the Israeli Consumer Price Index (CPI). Negative indexation does not reduce the payment amount.
  Facility C – Capitalised Interest:
  Interest accrues daily, is not paid periodically, and is added to the outstanding principal at the end of each interest period.

- Default Interest:
  All facilities carry default interest of an additional 2.5% per annum above the contractual rate in the event of non-payment. Base on the Financing Agreement defines the terms and circumstances that constitute an "Event of Default," which entitles the Lenders to call the Credit immediately and take enforcement action.

  A breakdown of the principal Events of Default:

  1. Failure to pay any amount when due under the Financing Documents, unless payment is made within a grace period of three business days from the original due date (except for a mandatory repayment where there is no grace period).
  2. Breach of any provision of the Collateral Documents, or performance of any act in contravention of the General Obligations by the Borrower, Haifa Port Company (HPC), the New Permitted Entity, or the Shareholders. These events may be remedied within 15 business days in certain cases.
  3. Failure to meet one of the financial criteria specified in the agreement (such as leverage ratio or cash flow coverage ratio).
  4. Existence of a default event in another financial debt of the borrower, Haifa Port Company or the new permitted entity, above a specified material amount, or making such debt subject to early repayment.
  5. Initiation of liquidation proceedings, receivership, stay of proceedings or appointment of a trustee for the company, Haifa Port Company or the new permitted entity. In addition, a breach will be considered if the company is unable to repay its debts or it the value of its assets is lower than its liabilities.
  6. Inclusion of a "going concern" (or similar) note in the annual, semi-annual or quarterly financial statements of the Borrower or its subsidiaries

  In the event of an uncorrected event of default, the Agent may, and if requested by the required majority of the Borrowers, shall take the following actions:

  1. Immediate cancellation of all commitments to provide credit.
  2. Declaration of immediate repayment of all loans, interest and other amounts.
  3. Realization of collateral provided to secure the loans

NOTE 4 - LOANS AND OTHER LIABILITIES (cont.)

Debt Service Reserve Facility (hereafter: DSRF)

The DSRF is a revolving credit facility provided under the Loan Facility Agreement, with a total commitment of NIS 86 million. It is designed to ensure the borrower can meet payment obligations related to Facility A and Facility B loans. The DSRF can only be utilized after Facility A and Facility B have been fully utilized. The borrower must deliver calculations of amounts due for Facility A and Facility B on the next semi-annual payment date before utilizing the DSRF. The facility is available until the earlier of the final maturity date (31 March 2032) or full repayment of Facility A and Facility B loans. Any amounts repaid under the DSRF can be reborrowed, subject to the terms of the agreement.

The DSRF is subject to specific conditions, including no ongoing defaults, compliance with representations and warranties, and adherence to legal and regulatory requirements. Funds from the DSRF are strictly reserved for debt service payments, including interest and fees, but not principal repayment.

Agent

The agent is defined as Mizrahi Tefahot Bank Ltd. (agent 1) and Adani International Ports Holdings Pte. Ltd. (agent 2) acts as a representative or intermediary between the borrower and the lenders, ensuring compliance with the terms of the financing agreement, including receiving and reviewing financial statements, assisting with communications and monitoring the borrower's financial condition. The agent acts on behalf of the financing parties to perform duties, obligations and exercise rights under the financing documents. The borrower must provide the agent with audited annual financial statements within 120 days of the end of each fiscal year and review semi-annual financial statements within 60 days of the end of each second and fourth fiscal quarter. These statements must include a balance sheet, profit and loss account and cash flow statement, approved by the director of the relevant company. The annual financial statements must be audited by one of the six major accounting firms in Israel, while the semi-annual and quarterly statements must be reviewed by them. The borrower must also ensure That the auditors are authorized to discuss the financial position of the group with the agent upon request.

Closing Date

The Closing Date is November 20, 2025

Mutual Payment Restrictions

Under the Agreement, any payment to lenders in either Group is permitted only if such payment qualifies as a “Permitted Payment” under the loan documentation applicable to the other Group. These provisions restrict the Company’s ability to make unilateral repayments and create a reciprocal oversight mechanism between the two lender groups.

NOTE 4 - LOANS AND OTHER LIABILITIES (cont.)

Pledge

As part of the financing arrangements entered into with the lenders, the Company granted a first-ranking permanent lien under Israeli law. Pursuant to this security arrangement, the Borrower pledged, among other things, all of its shares in HPC and all related rights, all rights under any shareholder loan, all rights under the purchase agreement, and any other rights held by the Borrower in HPC.

In addition, first-ranking floating charge over all of the Company's present and future assets, rights, property and interests, both tangible and intangible. First-ranking fixed charges over the Company's unissued share capital, goodwill, and the Holding Account, which serves as the Company's dedicated locked account for all incoming funds.

The above security rights were established to secure all the Company's obligations under the loan, including repayment of principal, interest and any additional amounts payable under the financing agreements.

Buyout Right

In the event of acceleration of the Group 1 debt, ADANI is entitled to acquire the entire debt of Group 1, including interest and related costs. During the buyout period, enforcement actions are stayed, except in circumstances involving the revocation of control permits. This arrangement may influence expected future cash flows and the timing of realization of pledged assets.

NOTE 5 - TRANSACTIONS AND BALANCES WITH INTERESTED AND RELATED PARTIES

a. Employment contracts with interested parties

Key management personnel include directors (which are not entitled to any compensation from the company).

b. Transactions with related parties:

	year ended December 31 2025	year ended December 31 2024
	NIS in thousands	
Interest expenses from loan provided by AIPH (1)	126,052	123,755
Commission towards APSEZ	-	1,258
Commission towards Gadot	-	13

(1) For more information, please refer to note 4 above.

NOTE 5 - TRANSACTIONS AND BALANCES WITH INTERESTED AND RELATED PARTIES (cont.)

c. Balances with related parties:

	December 31 2025	December 31 2024
	NIS in thousands	
Loan received including interest accrual	1,968,424	1,776,922
Commission towards APSEZ	1,258	-

NOTE 6 - SUBSEQUENT EVENTS

During the first quarter, the Government Companies Authority updated that the State Share Sale Committee approved amendments to the alternative chosen by HPC as part of adjustments to the contractual framework established during the company's privatization process. In accordance with this alternative, HPC committed to choosing to build the eastern platform, sign the required development agreements and deposit a total of NIS 700 million in an escrow account, as well as present approved sources of financing to complete the full financing of the project and the associated operational works. In addition, HPC was given the option, until January 1, 2030, to select and build the Carmel B project as an alternative to the Eastern Dock, subject to the completion of all agreements with the Department of Public Works, the deposit of at least 50% of the cost of the new project into an escrow account, and the completion of full financial closing. Failure to meet the conditions and schedules will cause Israel Ports Company (hereinafter: IPC) to begin construction of the Eastern Dock as of this date either on its own or by transferring the concession to a third party that will choose to comply with Israeli law. Restrictions on dividend distribution from HPC to the Company from past profits will remain in effect, subject to the possibility of reducing the amount deposited in the trust account as well as the remaining obligations for retirement plans, up to a ceiling of NIS 300 million. It was clarified that additional detailed agreements will be required between the State, IPC and HPC, and that the amendment of the agreements is subject to receiving all regulatory approvals and approvals from the authorized bodies of the Company and IPC, including in accordance with the laws of the Shipping and Ports Authority and the restrictions set forth in the order declaring material interests in the State. These approvals expected to be made during Q2 by approvals from the HPC Board of Directors, the IPC Board of Directors, and upon receipt of these approvals by the Government Companies Authority.

If the approval is not received by the date of payment of the interest, the shareholders of the company will ensure that the payment of the above interests is made through capital injection.

NOTE 6 - SUBSEQUENT EVENTS (cont.)

Issuance of shares against repayment of a liability to shareholders

In March 2026, the Company allocated its shareholders, each according to their proportional share in the Company's share capital, 3,900,000,000 ordinary shares of NIS 0.01 each.

The allocation of shares was made against final repayment of the Company's liability to shareholders, which was included in the Company's books as of December 31, 2025 in a total amount of NIS 39 million under related parties.

Upon making the aforementioned allocation, the balance of the liability to shareholders will be closed in full and its balance in the Company's books will be zero. As a result of this issuance, the Company's issued and paid-up share capital will increase by NIS 39 million (reflecting the par value of the shares allocated), and this against the removal of the corresponding liability from the balance sheet. Since the issuance was carried out at the nominal value corresponding to the amount of the liability that was settled, no premium is expected to be recorded for this issuance and no profit or loss will be generated for the Company.